Broadcom Inc.

AVGO DRAFT

www.broadcom.com
Atlas · June 01, 2026

Semiconductors | Infrastructure Software | AI Hardware

MARKET CAP **$2.3T** 2026-06-02 close	EV / REVENUE **34.2x** LTM · 2026-06-02 close	SHARE PRICE **$481.57** 2026-06-02 close
REVENUE **$19.31B** +29% YoY	AI REVENUE **$8.4B** +106% YoY	GROSS MARGIN **77.0%** GAAP 68.1%
FREE CASH FLOW **$8.0B** 41% of rev	EMPLOYEES **~33,000** FY2025 10-K	

BUSINESS OVERVIEW

PLAIN ENGLISH

- Broadcom makes two things.
- First, specialized computer chips: the custom processors and networking gear that run AI data centers for giants like Google, Meta and OpenAI. Second, enterprise software: it owns VMware, which runs the behind-the-scenes infrastructure of corporate data centers.
- Broadcom does not sell to consumers; its customers are the world's largest technology and enterprise companies.

THE TECHNICAL VERSION

- Broadcom is a fabless designer of custom ASICs (it calls them XPUs) and merchant networking silicon, all built at TSMC. For hyperscalers it co-designs application-specific AI accelerators (for example Google's TPU and Meta's MTIA) using its in-house SerDes, advanced packaging and IP. It also supplies the AI cluster fabric: high-radix Ethernet switches (Tomahawk) and routers (Jericho) plus optical interconnect, competing with Nvidia's InfiniBand and Spectrum.
- The software segment monetizes VMware Cloud Foundation through multi-year subscriptions after re-architecting licensing post-acquisition.
- FY2025 revenue is roughly 58% semiconductors and 42% software.

EXPLAINED SIMPLY

- Picture the AI boom as a gold rush.
- Nvidia sells the most popular shovels, the GPUs anyone can buy off the shelf.
- Broadcom is the company that, if you are a giant like Google, will build you a custom shovel designed for exactly your dirt, usually cheaper and more power-efficient than the standard one.
- Broadcom also lays the roads and pipes that connect thousands of those shovels so they work as one giant machine.
- And on the side it owns VMware, the software big companies use to run their own computer rooms.
- So Broadcom earns money two ways: building custom AI chips plus the plumbing between them, and renting essential software to large enterprises.

- Broadcom (NASDAQ: AVGO) is a ~$2.2T market-cap chip and software maker, now the central arms dealer of the AI buildout.
- FY2025 revenue was $63.9B, up ~24% YoY, across two segments.
- Semiconductor Solutions: $36.9B (58% of revenue), spanning AI accelerators, networking, broadband, wireless and storage.
- Infrastructure Software: $27.0B (42%), led by VMware on multi-year subscriptions; VMware ARR up 19%.
- AI is the engine: Q1 FY26 AI revenue was $8.4B (+106% YoY), guided to $10.7B (+140%) in Q2.
- It designs custom XPUs (ASICs) with hyperscalers, the merchant alternative to Nvidia's GPUs.
- It also owns the AI cluster fabric via Ethernet switching (Tomahawk/Jericho), competing with Nvidia InfiniBand.
- AI backlog is ~$73B; CEO Hock Tan guides FY27 AI chip revenue 'significantly' above $100B.
- Capital returns are heavy: $10.9B returned in Q1, plus a new $10B buyback authorization.

How the business works, left to right: who buys, what the platform provides, and the payoff.

CUSTOMERS · WHAT THEY NEED

Google
Custom TPUs, co-designed

Meta
~1 GW MTIA accelerators

OpenAI
10 GW custom XPUs (2027)

Anthropic
~3.5 GW TPU compute

ByteDance
Custom AI silicon

→

PLATFORM

Broadcom

Custom XPUs / ASICs

AI Ethernet fabric (Tomahawk / Jericho)

VMware Cloud Foundation

→

VALUE DELIVERED

Cheaper, efficient AI compute
Custom silicon vs merchant GPUs: lower $/token and lower power

AI cluster networking
Ethernet switching/optics linking 100k+ XPU clusters

Supply assurance
~$73B AI backlog; multi-year, multi-customer commitments

Private-cloud software
VMware VCF as the AI-infra software layer; ARR +19%

HOW BROADCOM IS DIFFERENT

PLAYER	WHAT THEY MAKE	HOW BROADCOM DIFFERS
Nvidia (NVDA)	One-size-fits-all merchant GPUs anyone can buy	Broadcom co-designs a chip for a single customer's workload, usually cheaper and lower-power for that job, and owns the Ethernet networking layer Nvidia tries to capture with InfiniBand.
Marvell (MRVL)	Custom ASICs plus optical and networking silicon	The only true peer. Broadcom wins on scale, deeper IP and packaging, and a dominant Ethernet-switch franchise; Marvell is the clear number two.
AMD (AMD)	Merchant GPUs and CPUs sold to fight Nvidia head-on	Broadcom sells no merchant accelerators at all; it helps customers build their own. It is a picks-and-shovels supplier, not a chip vendor competing for the same sockets.
Micron (MU)	Memory (DRAM and HBM) that sits next to an AI chip	Memory stores data; Broadcom's logic computes and moves it. Micron is commodity-cyclical with prices that swing hard, while Broadcom's custom logic, networking and software are higher-margin and far less commodity.
Intel (INTC)	CPUs it both designs and manufactures itself	Broadcom is fabless (TSMC builds its chips) and makes no CPUs; it focuses on custom accelerators and networking, avoiding the capital and yield risk of owning fabs.
Qualcomm (QCOM)	Mobile and handset chips for phones	Broadcom largely exited that dependence years ago; the two barely overlap today beyond some connectivity parts.
Analog peers (TXN, NXPI, ADI)	Broad analog and embedded chips for cars and industry	Different end-markets and more commodity-like. They are not levered to the AI data-center build that drives Broadcom's growth.

EXECUTIVE LEADERSHIP

PRESIDENT & CEO SINCE 2006

Hock E. Tan

President, CEO and director since March 2006; previously CEO of Integrated Circuit Systems and senior finance roles at Commodore, PepsiCo, and GM.

CFO & CHIEF ACCOUNTING OFFICER SINCE 2021

Kirsten M. Spears

Sitting CFO/CAO; retiring effective June 12, 2026, then serving as a consultant.

CFO (INCOMING, EFF. JUNE 12, 2026) SINCE 2026

Amie Thuener

Joined Broadcom May 4, 2026 to succeed Spears; previously VP, Corporate Controller and CAO at Alphabet since 2018.

PRODUCT & REVENUE MODEL

- Semiconductor Solutions ($36.9B FY2025) monetizes custom ASIC/XPU design wins with hyperscalers plus merchant networking, broadband, wireless and storage chips.
- Infrastructure Software ($27.0B) monetizes VMware Cloud Foundation and legacy software via multi-year subscriptions after the post-acquisition repricing.
- The AI slice of semis ($8.4B in Q1 FY26, +106% YoY) is now the dominant growth and valuation driver.

RECENT NEWS

2026-05-28

Susquehanna lifts Broadcom target to $490 ahead of FQ2

SOURCE: **SEEKING ALPHA**

A pre-earnings PT hike (from $450) signals the buy-side expects custom-ASIC and AI-networking upside, but the 'modest FQ3 guide' caveat warns even a revenue beat could sell off if the forward AI guide is merely in-line.

2026-05-19

Broadcom seen as winner from Blackstone-Google $5B TPU venture

SOURCE: **CNBC**

Blackstone pledged ~$5B to launch compute-as-a-service on Google TPUs (which Broadcom co-designs), widening the custom-silicon demand pool beyond core hyperscalers and adding a PE-funded financing channel for AI infrastructure.

2026-05-12

Citi raises Broadcom price target ahead of FQ2 results

SOURCE: **SEEKING ALPHA**

Sequential sell-side target hikes show estimate revisions still trending up into the print, supporting the multiple even at record highs but leaving positioning crowded long.

2026-05-08

OpenAI-Broadcom custom chip deal hits ~$18B financing snag

SOURCE: **THE INFORMATION**

Broadcom will reportedly finance only the first phase if Microsoft commits to buy ~40% of the chips, transferring demand risk back to the buyer and reframing the OpenAI relationship from a clean backlog add to a contingent deal.

2026-04-14

Meta commits ~1 GW of custom chips with Broadcom; Hock Tan to exit Meta board

SOURCE: **CNBC**

A gigawatt-scale MTIA commitment diversifies AVGO's custom-silicon revenue beyond Google; Tan stepping off Meta's (not Broadcom's) board cleans up the governance conflict as the relationship scales.

2026-04-07

Wall Street sees up to ~80% AVGO upside after expanded chip deals

SOURCE: **CNBC**

The wide implied-upside range shows the bull case now rests on custom-ASIC TAM expansion rather than legacy semis or VMware, leaving the stock trading on AI-narrative conviction and exposed to multiple compression if order momentum stalls.

2026-04-06

Broadcom expands chip deals with Google and Anthropic (~3.5 GW)

SOURCE: **CNBC**

Anthropic gains ~3.5 GW of Google-TPU compute through 2029 (Mizuho est. ~$21B AVGO AI revenue in 2026, ~$42B in 2027), converting it from a one-off order into a multi-year anchor under the FY27 $100B+ AI narrative.

2026-03-04

Broadcom beats FQ1; guides FQ2 to ~$22B, AI to $10.7B; new $10B buyback

SOURCE: **CNBC**

The $10.7B AI guide (+140%) and ~$73B AI backlog are the quantitative spine of the bull case; the fresh $10B buyback signals FCF confidence and a valuation backstop.

2026-03-04

Hock Tan: AI chip revenue 'significantly' above $100B in 2027

SOURCE: **CNBC**

This is the headline number underpinning every bull DCF and the reason AVGO sustains a premium to the semi group; any update to the $100B+ frame on June 3 will be the dominant post-earnings catalyst.

FINANCIALS & KEY METRICS

FQ1 2026 (ended Feb 1, 2026); most recent reported. FQ2 reports Jun 3, 2026 · 2026-03-04

REVENUE	AI REVENUE	SEMICONDUCTOR REV	SOFTWARE REV
$19.31B	**$8.4B**	**$12.5B**	**$6.8B**
+29% YoY	+106% YoY	+52% YoY	+1% YoY

GROSS MARGIN	EPS (NON-GAAP)	FREE CASH FLOW	BACKLOG
77.0%	**$2.05**	**$8.0B**	**~$73B**
GAAP 68.1%	GAAP $1.50	41% of rev	AI backlog

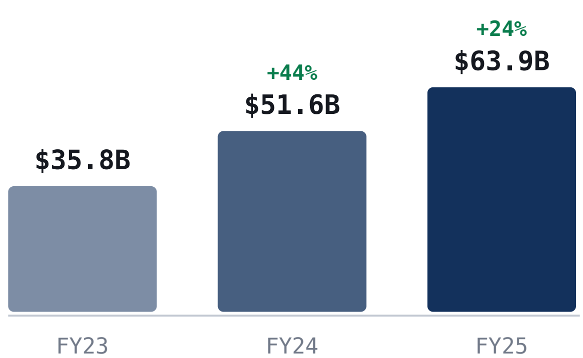
NEXT-Q GUIDE	CAPITAL RETURNED
~$22.0B	**$10.9B**
+47% YoY	Q1 div + buyback

- **AI / Product:** AI was the dominant theme: Q1 AI revenue of $8.4B grew 106% YoY (above plan), powered by custom XPUs and AI networking, with the custom-accelerator business up ~140% YoY. Management cited Meta's MTIA shipping now and OpenAI deploying its first-gen XPU in volume in 2027 at over 1 GW. CEO Hock Tan reiterated 'line of sight' to AI chip revenue significantly above $100B in 2027, and guided FQ2 AI revenue to $10.7B (+140% YoY).

- **Demand:** Semiconductor Solutions ($12.5B, +52%) was carried by AI demand while non-AI/core semis (broadband, wireless, industrial) stayed muted. Infrastructure Software ($6.8B, +1%) lapped the VMware integration; VMware ARR rose 19% and TCV bookings were $9.2B. Management framed VMware Cloud Foundation as the software layer for AI infrastructure.

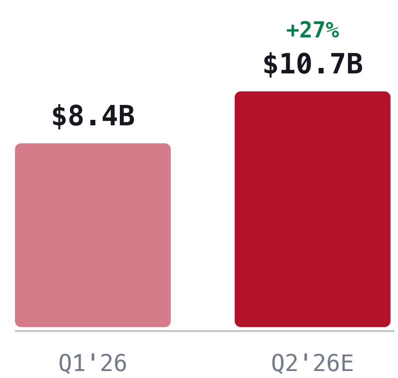
REVENUE TRAJECTORY

ANNUAL REVENUE ($B)



SOURCES: Broadcom FY results

AI SEMICONDUCTOR REVENUE ($B)



Forward quarters marked E reflect company guidance, not reported actuals.

SOURCES: Broadcom IR / CNBC · Broadcom guidance (Mar 4, 2026)

KEY RISKS & DEBATES

! **Priced for perfection:** a steep EV/Rev premium to Nvidia, Marvell and AMD (see comps) leaves the stock exposed to multiple compression if AI orders slip.

- ! **Customer concentration:** Google may dual-source TPUs with Marvell, threatening AVGO's largest custom-silicon franchise.
- ! **Offtake risk:** the OpenAI deal reportedly hinges on Microsoft buying ~40% (~$18B of financing at stake).
- ! **Lumpy recognition:** AI revenue is backlog-driven with deliveries skewed to 2027, so quarter-to-quarter volatility is high.
- ! **VMware:** EU licensing scrutiny and subscription-repricing pushback could pressure renewals.
- ! Core (non-AI) semiconductors (broadband, wireless, industrial) remain soft.
- ! **Event risk:** FQ2 prints June 3, 2026, into a high bar after a sharp run-up.
- ! **CFO transition:** Amie Thuener takes over June 12, 2026.

COMPARABLE COMPANIES

COMPANY	TICKER	TYPE	EV / REV LTM	REV GROWTH YoY	GROSS MARGIN	NOTE
Broadcom	AVGO	**Subject**	**34.2x**	**29.5%**	**76.7%**	**Custom AI silicon plus networking plus software; premium to every listed peer**
Nvidia	NVDA	AI GPU	21.1x	85.2%	74.1%	Merchant GPU leader; the off-the-shelf chip AVGO's custom XPUs displace
Marvell	MRVL	Custom silicon	29.4x	27.6%	51.5%	Closest true peer: custom ASICs plus optical/networking; clear number two
AMD	AMD	AI GPU	22.5x	37.8%	53.1%	Merchant GPU/CPU challenger to Nvidia; sells sockets, not custom designs
Astera Labs	ALAB	AI connectivity	59.8x	93.4%	76.0%	Pure-play AI-rack connectivity (retimers); rich multiple on hypergrowth
Micron	MU	Memory	20.6x	196.3%	58.4%	HBM/DRAM beside AI chips; commodity-cyclical, in an up-cycle (not logic)
Qualcomm	QCOM	Wireless	5.8x	-3.5%	54.8%	Mobile/handset chips; minimal overlap with AVGO today, cheapest comp
Texas Instruments	TXN	Analog	15.7x	18.6%	57.3%	Broad analog/embedded for industrial and auto; non-AI benchmark
NXP Semiconductors	NXPI	Auto/embedded	7.1x	12.2%	55.6%	Automotive and edge analog; different end-markets, value multiple
Intel	INTC	IDM / CPU	10.3x	7.2%	37.2%	Designs and fabricates its own CPUs; AVGO is fabless with no CPUs

COMPANY	TICKER	TYPE	EV / REV LTM	REV GROWTH YoY	GROSS MARGIN	NOTE
Arm Holdings	**ARM**	IP licensing	86.8x	20.1%	97.5%	Licenses CPU IP on royalties; ~88x reflects IP economics, not a chipmaker

SOURCES: Public-ticker multiples pulled live from yfinance / Yahoo Finance, as of the 2026-06-02 market close; EV/Rev recomputed from last close × shares + net debt.

PRIMARY FILINGS (SEC EDGAR)

8-K	filed 2026-04-21 · period 2026-04-20		View on EDGAR ›
8-K	filed 2026-04-06 · period 2026-04-06		View on EDGAR ›
10-Q	filed 2026-03-11 · period 2026-02-01		View on EDGAR ›
10-K	filed 2025-12-18 · period 2025-11-02		View on EDGAR ›
10-Q	filed 2025-09-10 · period 2025-08-03		View on EDGAR ›
10-K	filed 2024-12-20 · period 2024-11-03		View on EDGAR ›

SOURCE: SEC EDGAR · CIK 0001730168 · primary filings of record.

SLIDE-READY BULLETS

1. AI franchise compounding: Q1 FY26 AI revenue $8.4B (+106% YoY), guided to $10.7B (+140%) in Q2; ~$73B AI backlog.
2. FY2025 revenue $63.9B (+24%): Semiconductors $36.9B (58%), Infrastructure Software $27.0B (42%).
3. Custom XPUs for Google, Meta, ByteDance, OpenAI (10 GW) and Anthropic (~3.5 GW), the merchant alternative to Nvidia.
4. CEO guides FY27 AI chip revenue 'significantly' above $100B; ~$2.2T market cap.
5. Premium to semis peers on EV/Rev (see live comps); $10.9B returned in Q1 plus a new $10B buyback.

SMART DILIGENCE QUESTIONS

Q1 How much of the >$100B FY27 AI target is contracted backlog versus pipeline, and what are the offtake/take-or-pay terms, especially the OpenAI deal reportedly contingent on a ~40% Microsoft commitment?

Q2 What is customer concentration within AI/XPU revenue, and how defensible is the Google franchise given reports of Marvell dual-sourcing?

Q3 On VMware: what are net renewal and churn trends after the subscription repricing, and what is the exposure to the EU licensing investigation?

SLIDE KIT

Logo, stats, and copy-paste artifacts

Broadcom Inc.

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Semiconductors

Infrastructure Software

AI Hardware

COPY-PASTE STATS

$19.31B (+29% YoY)

TOP 3 SLIDE BULLETS

> AI franchise compounding: Q1 FY26 AI revenue $8.4B (+106% YoY), guided to $10.7B (+140%) in Q2; ~$73B AI backlog.

> FY2025 revenue $63.9B (+24%): Semiconductors $36.9B (58%), Infrastructure Software $27.0B (42%).

> Custom XPUs for Google, Meta, ByteDance, OpenAI (10 GW) and Anthropic (~3.5 GW), the merchant alternative to Nvidia.

BRAND COLORS

#CC092F #005C8A #494A5E

BRAND TAGS

Semiconductors Infrastructure Software

AI Hardware

Sources: Company IR, earnings transcripts, Bloomberg, SEC filings, Sacra, Crunchbase, yfinance
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